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HEALTH CLAIMS FORUM

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The Insurance Act 2015

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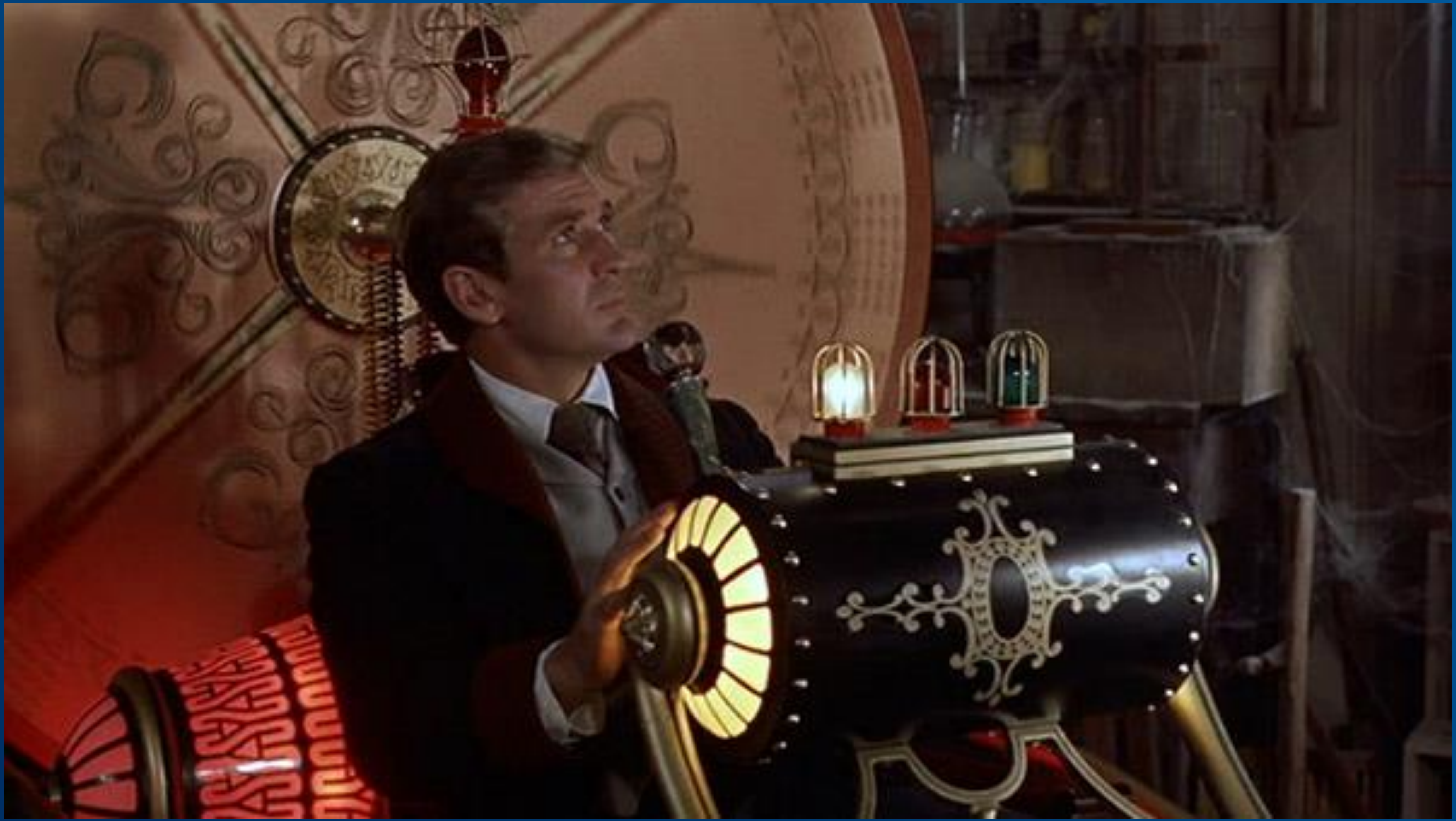
Countdown to 12 August 2016…..

- Consumer Insurance (Disclosure and Representations) Act 2012 “2012 Act”
- Insurance Act 2015 “2015 Act”
- Enterprise Bill 2015

Objectives

- How to approach Group Policy misrep claims where there is misrep by the employer
- What are the potential problem areas re the 2015 Act?
- What you need to do before 12 August 2016 to get ready for the 2015 Act
- Whether new law bringing in the ability for Claimants to seek compensation for late payment of insurance claims is likely and the practical impact on claims handling

The Time Machine – looking back



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IS THIS HOW IT WAS?

An Overview

Marine Insurance Act 1906	Several Law Commission Reviews			From 1/2008 ABI Guide applies	From 9/1/2009 ABI Code replaces Guide		Consumer Contracts from 6/4/2013 2012 Act applies		Business Contracts from 12/8/2016 2015 Act applies
		Various ABI SoBP	FOS applying proportionate outcomes		Mandatory if ABI member but FOS regard Guide as best practice			Enterprise Bill 2015	

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Key Dates to remember

- 6th April 2013
- 12th August 2016

Representations at application stage (plus variations* and renewal)

2012 Act

Consumer contracts
on or after 6/4/2013 (Individual Cover)

Also applies to employees reps where Group Cover (proportionate outcome affects ind.only)

E/ee’s medical and lifestyle (in employee questionnaire/IME)

2015 Act

Business contracts
on or after 12/8/2016

Group reps by employer

Location
Type of business
Categories of e/ees/ jobs
Overseas workers
Claims experience

*NB Some of the 2015 Act does not apply to variations.

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New duties

2012 Act

- Duty to take reasonable care not to make a misrep.
- Obligation to volunteer gone
- Therefore key to ask clear questions
- New concept of ‘qualifying misrepresentation’ s.5
- Can’t contract out of anything

2015 Act

- Duty of fair presentation
- Possible to contract out (with conditions) BUT unlikely in most life/protection scenarios

What is a 'fair presentation' (by business) under the 2015 Act?

1 Disclose every material circumstances which knows or ought to know

OR

"Sufficient information" to put prudent insurer on notice that needs to make further enquiries,

2 Disclosure to be "reasonable and accessible" to prudent insurer (no mass 'data dumping' – greater use of summaries) AND

3 Facts need to be "substantially correct" (Expectations/beliefs to be made in good faith)

Main problem areas under the 2015 Act

- Uncertainty about what business 'ought to know'
- Uncertainty about the process of business gathering information
  - Who are treated as the senior management?
  - Reasonable search (new concept)
- Brokers will be concerned about their role
- Compliance/product development will want to review and update applications, their process and policy wordings

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What business ‘ought’ to know

- Corporate entities know what is know to individuals who are:
  - (a) part of “senior management” or
  - (b) responsible for insurance

- Test for what ought to know?
  - what reasonably revealed by reasonable search of info <u>available to insured</u>
  - search relates to info within own organisation or held by others e.g. broker/agent
  - whether search made by enquiries or by any other means

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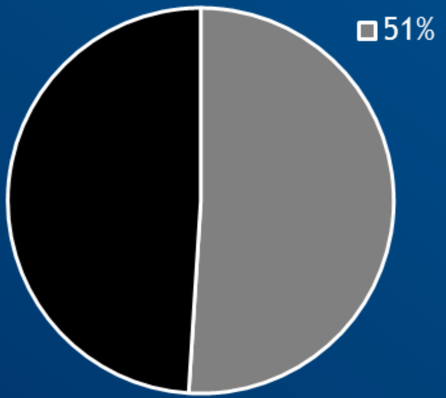
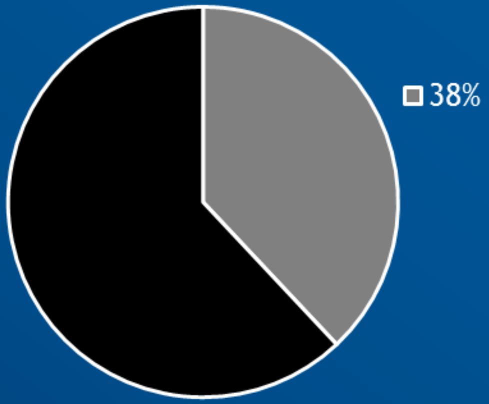
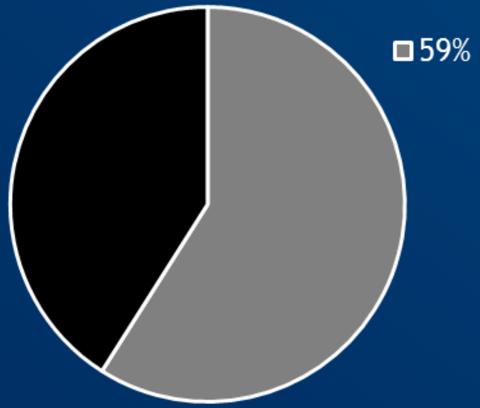
AIRMIC Survey October 2015



- 51 % said their broker had yet to produce clear guidance to the 2015 Act





- 59% of risk managers have not mapped out what a ‘reasonable search’ means in their organisation

- 38 % confused as to who should be included in ‘senior management’

Insurer's (underwriters role)

- Law changed so that underwriters ought to know information 'held' by Insurer and 'readily available' to individual responsible for underwriting decision
- Do a search
  - But if e.g. claims history in separate database which underwriter has no access to not 'readily available' Change to law in Mahli v Abbey Life [1996]
- Information on internet not 'held by' Insurer but what about subscription databases?

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Similarities between 2012 and 2015 Act

- Materiality re misrep (same as old law)
  - Insurer must prove would not have entered into contract, or only on different terms

- Proportionate outcomes (Schedule 1)
- When deliberate/reckless misrep: Avoid
  - (But one difference because with Consumer Cover insurer can keep premium <u>unless</u> unfair to applicant to keep it)

Getting ready for 12/8/2016

- All policies should remove “basis of contract” clause (No one can contract - out of this)
- Guidance
  - ➢ Senior management
  - ➢ Insured’s search
  - ➢ What insurer presumed to know
- Communicate with brokers
- Improve underwriting manuals that back up underwriting approach to assist with applying proportionate remedies

Effects of new law

- Raised professionalism/more accountability
- Brokers may be more proactive in directing businesses search
- Tighten up sickness absence records
- Insured likely to ask wider questions in its search because information does not have to be in its’ ‘possession and control’
- Underwriters to be hyper alert of things that beg further questions

Fraudulent claim remedies – 2015 Act

- This new law applies to both consumer and business
- S12 (1) Insurance Act 2015
- 1. Refuse claim, and
  2. May recover from insured any sums paid in respect of the fraudulent claim, and
  3. By notice treat contract as terminated from fraudulent act and keep premium
- NB KEY to look at when fraudulent act occurred
- In consumer contract, cannot use a policy term to put that individual (or e/ee re Group Cover) in worse position than under 2015 Act (e.g IP benefit pre fraudulent act won't be recoverable)

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The Enterprise Bill

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Late Payment Legal Reform

Current law in EU & Northern Ireland

- Interest but no compensation (damages) claim for late payment of insurance claim
- Many other countries permit compensation. Out-of-step in an increasingly global market

Sprung v Royal Insurance (UK) Ltd [1996]

- Plant and machinery at Mr Sprung's factory was vandalised
- Insurance claim disputed
- Mr Sprung could not afford to carry out repairs and business failed
- Mr Sprung won indemnity insurance claim (so insurer 'late')
- Court (1^{st} and Court of Appeal) said <u>no</u> to £75,000 claim for lost chance to sell business (consequential loss claim)

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Late Payment Legal Reform

- Reform originally in Insurance Bill (which led to the Insurance Act 2015)
- But dropped
- Sneaked into Enterprise Bill
- Government wants this reform
- Timescales? (1st H.L reading 16/9/2015)

Enterprise Bill proposals

- Implied term (i.e. not written term) of every insurance contract that insurer will pay valid claims within a "reasonable time"
- Have time to investigate and assess a claim and this will depend upon all the relevant circumstances
- This includes:
  - Type of insurance
  - Size and complexity
  - Any applicable statutory/regulations considerations
  - Factors outside insurer's control

Practical Points

- Manage claimants' expectations about investigation – what needed, why, how long should it take?
- Document on claims file any changes to this along the way (questions may lead to other questions)
- Brokers and claimants will use this new law to put pressure on Insurers
- Reserving will potentially need to change to allow for possible consequential loss claims
- As it will be a distinct/separate claim, 6 year limitation period for the 'late payment' claim could run from a later date than the main claim

Any questions?

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